AWSC (8086.TWO)

Earnings Review: Material cost inflation to moderate in 4Q26, full impact of price adjustments from 1Q27; Neutral

8086.TWO	12m Price Target: **NT$136.00**	Price: **NT$99.90**	Upside: **36.1%**

AWSC's 3Q26 core business OP was NT$209mn, which was lower than both GSe/BBG consensus at NT$226mn/NT$250mn, mainly due to the ongoing increase in raw material cost, leading to a 24.3% GM (lower than GSe/BBG consensus GM at 25.6%/27.8%), despite UTR in 3Q26 remaining stable at 65-70%. Moreover, AWSC reported NI of NT$191mn, which was 3% higher than GSe but 17% lower than the BBG consensus due to the GM contraction.

Going into 4Q26, we believe the company's revenue will increase by 1% as key business lines (including WiFi, cellular and VCSEL) should remain stable in 4Q26 as we expect the company's utilization rate to remain stable at 65-70%. Moreover, we expect its GM to rise to 27.2% (up 2.9ppt QoQ) due to the material cost increase slowing down.

We continue to view rising material costs as the key risk to AWSC's profitability, as the company is now securing raw materials at higher cost as low-cost inventory has already been depleted in 1H26 amid the strong demand pull in. The company continues to negotiate price increases with clients and expects the adjustments to be fully reflected starting in 1Q27. However, we remain cautious on the low-end cellular segment, where customer demand tends to be more price-sensitive.

For the AI-related business, the company continues to ship VCSEL products for 400G/800G optical transceiver this year, with revenue contribution to be <2% in 2026E per our estimates. Meanwhile, the company continues to make progress on the new PD (Photodiode) product and is currently undergoing verification with several customers. The company expects PD products to start seeing revenue contribution starting from 2H27 or 2027-end given its long verification process, typically 6 months+, thus we expect revenue contribution to be limited at <2%/~5% in 2027E/2028E.

Investment view

NEUTRAL

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Key Data

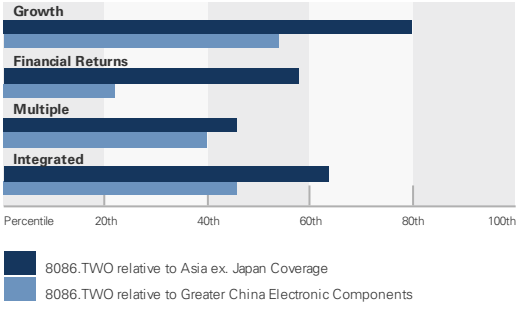
Market cap: NT$19.6bn / $595.9mn
Enterprise value: NT$15.8bn / $479.8mn
3m ADTV: NT$812.4mn / $25.3mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**4,116.5**	**5,054.0**	**5,763.6**	**7,143.1**
Revenue (NT$ mn) Old	4,116.5	4,997.6	6,327.4	7,933.9
EBITDA (NT$ mn)	1,434.9	1,802.2	2,108.2	2,566.8
EPS (NT$) New	**3.36**	**4.86**	**5.66**	**7.62**
EPS (NT$) Old	3.36	4.78	6.26	8.51
P/E (X)	28.6	20.6	17.7	13.1
P/B (X)	2.3	2.3	2.2	2.1
Dividend yield (%)	1.8	3.2	3.7	5.0
CROCI (%)	13.1	14.6	15.6	17.5

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	0.97	0.96	1.10	1.42

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

AWSC (8086.TWO)

Rating since Dec 2, 2024

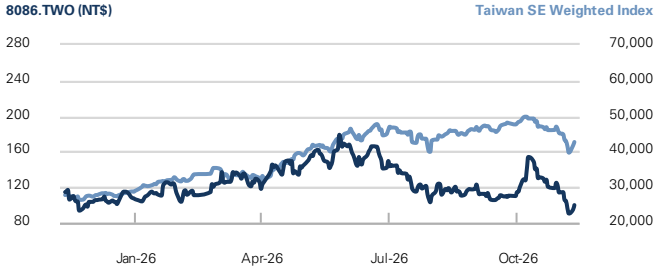
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	28.6	20.6	17.7	13.1
P/B (X)	2.3	2.3	2.2	2.1
FCF yield (%)	5.7	7.9	3.9	4.5
EV/EBITDAR (X)	11.3	8.8	7.4	6.0
EV/EBITDA (excl. leases) (X)	11.3	8.8	7.4	6.0
CROCI (%)	13.1	14.6	15.6	17.5
ROE (%)	8.2	11.4	12.7	16.2
Net debt/equity (%)	(31.6)	(44.6)	(44.3)	(43.5)
Net debt/equity (excl. leases) (%)	(31.6)	(44.6)	(44.3)	(43.5)
Interest cover (X)	46.8	–	–	–
Days inventory outst, sales	76.9	58.2	45.7	42.8
Receivable days	55.7	43.4	33.8	32.5
Days payable outstanding	34.7	37.2	38.2	36.4
DuPont ROE (%)	8.0	11.2	12.4	15.8
Turnover (X)	0.4	0.5	0.5	0.6
Leverage (X)	1.3	1.3	1.3	1.3
Gross cash invested (ex cash) (NT$)	11,148.4	10,986.6	11,982.8	13,138.7
Average capital employed (NT$)	5,751.4	5,187.8	4,865.5	5,171.6
BVPS (NT$)	41.89	43.60	45.58	48.24

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(7.6)	22.8	14.0	23.9
EBITDA growth	21.3	25.6	17.0	21.8
EPS growth	26.7	44.7	16.4	34.6
DPS growth	41.2	88.1	16.4	34.6
EBIT margin	17.9	21.3	23.5	24.9
EBITDA margin	34.9	35.7	36.6	35.9
Net income margin	16.0	18.9	19.3	21.0

Price Performance



	3m	6m	12m
Absolute	(15.3)%	(37.4)%	(12.0)%
Rel. to the Taiwan SE Weighted Index	(10.9)%	(39.0)%	(42.6)%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	4,116.5	5,054.0	5,763.6	7,143.1
Cost of goods sold	(3,026.6)	(3,588.4)	(3,940.7)	(4,803.3)
SG&A	(157.0)	(143.4)	(172.0)	(215.9)
R&D	(195.0)	(244.3)	(297.2)	(342.3)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,434.9**	**1,802.2**	**2,108.2**	**2,566.8**
Depreciation & amortization	(697.0)	(724.3)	(754.6)	(785.2)
EBIT	**737.9**	**1,077.9**	**1,353.7**	**1,781.6**
Net interest inc./(exp.)	42.6	71.3	96.5	99.5
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**780.5**	**1,118.3**	**1,323.7**	**1,781.6**
Provision for taxes	(120.3)	(163.0)	(211.8)	(285.1)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**660.1**	**955.3**	**1,111.9**	**1,496.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**660.1**	**955.3**	**1,111.9**	**1,496.6**
EPS (basic, pre-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (diluted, pre-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (basic, post-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (diluted, post-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
DPS (NT$)	1.68	3.16	3.68	4.95
Div. payout ratio (%)	50.0	65.0	65.0	65.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	3,450.3	4,670.8	4,818.4	4,971.5
Accounts receivable	704.4	498.5	568.5	704.5
Inventory	922.7	688.2	755.8	921.2
Other current assets	491.8	491.8	491.8	491.8
Total current assets	**5,569.3**	**6,349.3**	**6,634.4**	**7,089.0**
Net PP&E	4,792.9	4,693.6	4,939.0	5,353.8
Net intangibles	24.4	24.4	24.4	24.4
Total investments	0.0	0.0	(1.0)	(2.0)
Other long-term assets	138.8	138.8	138.8	138.8
Total assets	**10,525.5**	**11,206.1**	**11,735.7**	**12,604.1**
Accounts payable	337.7	393.3	431.9	526.4
Short-term debt	150.0	150.0	150.0	150.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	1,021.4	1,312.2	1,414.0	1,664.1
Total current liabilities	**1,509.1**	**1,855.5**	**1,995.9**	**2,340.5**
Long-term debt	698.3	698.3	698.3	698.3
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	85.2	85.2	85.2	85.2
Total long-term liabilities	**783.5**	**783.5**	**783.5**	**783.5**
Total liabilities	**2,292.6**	**2,639.0**	**2,779.4**	**3,124.0**
Preferred shares	–	–	–	–
Total common equity	8,232.8	8,567.2	8,956.3	9,480.1
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**10,525.5**	**11,206.1**	**11,735.7**	**12,604.1**
Net debt, adjusted	(2,602.0)	(3,822.4)	(3,970.0)	(4,123.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	660.1	955.3	1,111.9	1,496.6
D&A add-back	697.0	724.3	754.6	785.2
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(153.3)	496.0	(98.9)	(207.0)
Other operating cash flow	104.2	–	–	–
Cash flow from operations	**1,308.0**	**2,175.6**	**1,768.5**	**2,075.8**
Capital expenditures	(225.0)	(625.0)	(1,000.0)	(1,200.0)
Acquisitions	–	–	–	–
Divestitures	(1.1)	–	–	–
Others	(481.4)	–	–	–
Cash flow from investing	**(707.5)**	**(625.0)**	**(1,000.0)**	**(1,200.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(330.1)	(330.1)	(620.9)	(722.7)
Inc/(dec) in debt	465.0	–	–	–
Other financing cash flows	(111.1)	0.0	0.0	0.0
Cash flow from financing	**23.8**	**(330.1)**	**(620.9)**	**(722.7)**
Total cash flow	**624.2**	**1,220.4**	**147.6**	**153.1**
Free cash flow	1,082.9	1,550.6	768.5	875.8

Source: Company data, Goldman Sachs Research estimates.

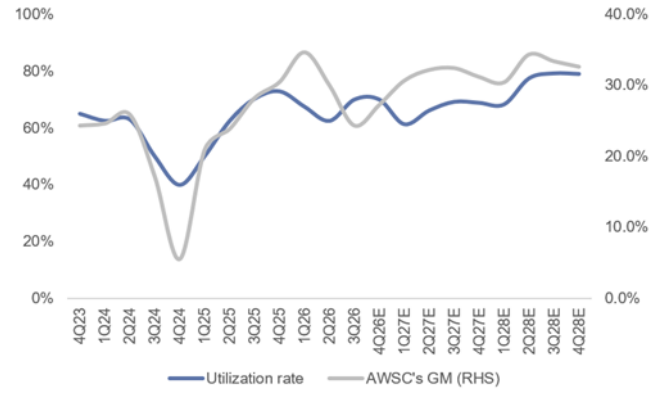
We maintain our conservative view on the cellular/WiFi PA industry (see here) as we continue to see weaker smartphone shipment (-10%/+2%/+2% in 2026/27/28, see here) as the smartphone market continues to be impacted by the elevated memory price (see here).

For AWSC, we believe the company could further gain market share among China PA design houses as Chinese clients increasingly shift toward higher-end PA products, supported by the company's superior cost control capability and higher production yield relative to peers. In addition, AWSC has continued to expand its market share with a Korean smartphone brand, which should provide further growth momentum to its cellular business in coming quarters/years. Overall, we expect AWSC to continue gaining share from its key competitors due to (1) its competitive pricing strategy, underpinned by a more favorable cost structure comparing to its key competitor, Win Semi (AWSC/Win Semi's fixed cost accounts for 30%/40% of the total, while Win Semi's COGS per wafer is ~130% higher than AWSC's) and (2) its strategic focus on China- and US-based PA design houses.

We continue to see a recovery in 2026 CAPEX plans among Taiwan PA foundry players. However, we do not view this as a signal of a meaningfully stronger demand outlook as the capital spending is more related to new AI businesses. AWSC revised up its 2026 CAPEX guidance to NT$600-650mn (from NT$500-600mn) and continues to expect CAPEX to increase in 2027/28. Also, management continues to expect UTR to reach at most ~70% in 2026, implying no need for capacity expansion in the near term while the additional capex will be spent on new optical related business.

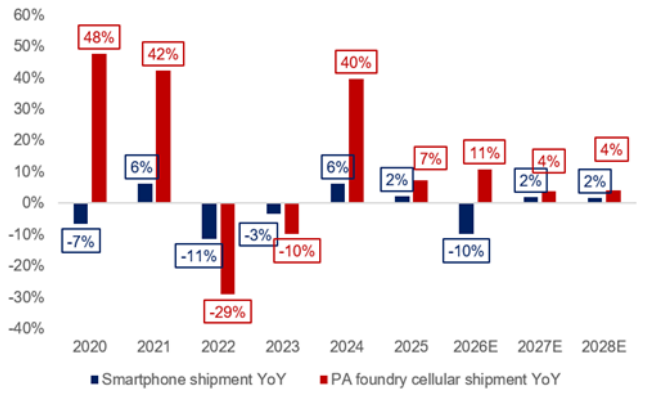
Overall, we maintain our Neutral rating on AWSC with a new 12-m TP of NT$136 (from NT$147) as we roll over our valuation period by one quarter. Post results, we revise down our 2027E/28E earnings by 10%/10% to reflect lower revenue and the negative impact from rising material cost (GM contraction), revise up 2026E earnings by 2%, and introduce our 2029E estimates.

Exhibit 1: AWSC's GM to be driven by utilization rate and product mix



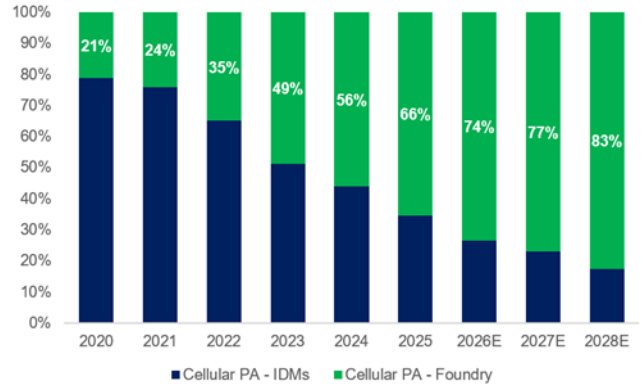
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect cellular PA foundry shipments to increase 11%/4%/4% in 2026E/27E/28E



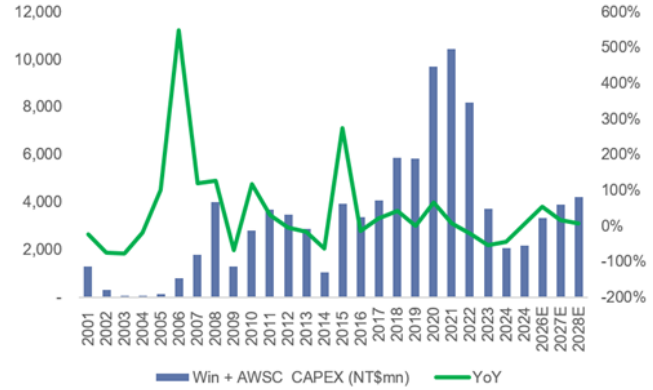
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: China cellular PA market share – Foundry continues to outgrow IDM



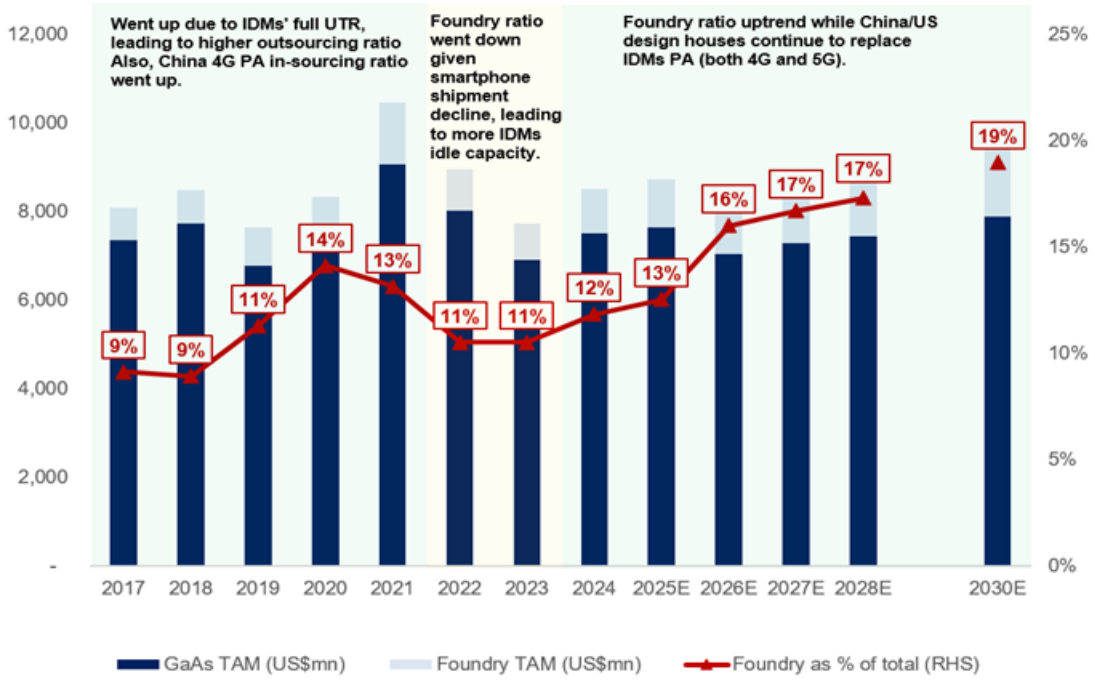
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: We believe Taiwan PA foundries' CAPEX will gradually improve starting from 2026



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: We believe the foundry penetration rate will grow to 16%/17%/17% in 2026E/27E/28E



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: AWSC 3Q26 result vs. GSe/consensus

AWSC (8086.TWO)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	1,262	1,262	0%	1,298	-3%	1,117	13%	1,257	0%
Gross profits	307	323	-5%	389	-21%	315	-3%	363	-15%
Operating profits	209	226	-7%	290	-28%	222	-6%	259	-19%
Pre-tax income	228	226	1%	307	-26%	261	-13%	282	-19%
Net profit	191	185	3%	278	-31%	218	-12%	236	-19%
EPS, NT$	0.97	0.94	3%	1.42	-31%	1.11	-12%	1.22	-20%
Gross margin (%)	24.3%	25.6%	-1.3ppt	30.0%	-5.7ppt	28.2%	-3.9ppt	28.9%	-4.6ppt
EBIT margin (%)	16.6%	17.9%	-1.3ppt	22.3%	-5.7ppt	19.9%	-3.3ppt	20.6%	-4.0ppt
Net margin (%)	15.2%	14.7%	0.5ppt	21.4%	-6.3ppt	19.5%	-4.3ppt	18.8%	-3.6ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We revise up our 2026E revenue by 1% to factor in the 3Q26 actual results and we revise down 2027E/28E revenue by 9%/10% assuming a more conservative outlook for the cellular business; we revise down 2026E/27E/28E GM estimates by 0.4/0.7/0.8ppt to reflect the negative impact from rising material cost. Overall, we revise down 2027E/28E earnings by 10%/10% and revise up 2026E earnings by 2%.

In this report, we introduce our 2029E estimates.

Exhibit 7: Earnings revision table

AWSC P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New
Sales	5,054	4,998	1%	5,764	6,327	-9%	7,143	7,934	-10%	8,064
Gross Profit	1,466	1,472	0%	1,823	2,046	-11%	2,340	2,659	-12%	2,666
EBIT	1,078	1,089	-1%	1,354	1,531	-12%	1,782	2,039	-13%	2,051
Net Income	955	940	2%	1,112	1,231	-10%	1,497	1,672	-11%	1,723
EPS (NT$)	**4.86**	**4.78**	**2%**	**5.66**	**6.26**	**-10%**	**7.62**	**8.51**	**-10%**	**8.77**
Ratio analysis										
Gross margin	29.0%	29.4%	-0.4pp	31.6%	32.3%	-0.7pp	32.8%	33.5%	-0.8pp	33.1%
EBIT margin	21.3%	21.8%	-0.5pp	23.5%	24.2%	-0.7pp	24.9%	25.7%	-0.8pp	25.4%
Net margin	18.9%	18.8%	0.1pp	19.3%	19.5%	-0.2pp	21.0%	21.1%	-0.1pp	21.4%

Source: Goldman Sachs Global Investment Research

Valuation

We maintain our Neutral rating and revise down our TP from NT$147 to NT$136, based on a lower 25x target P/E (from 27x previously, 0.5 STDV below the company's past 10-year forward P/E multiple), factoring in our earnings revisions and, consistent with our group coverage practices, rolling over our valuation period from 4Q26-3Q27E to 2027E.

Exhibit 8: P&L

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	1,222	1,298	1,262	1,271	1,249	1,415	1,554	1,546	1,564	1,809	1,887	1,882	4,117	5,054	5,764	7,143	8,064
Gross profit	423	389	307	346	383	455	504	482	475	621	630	614	1,090	1,466	1,823	2,340	2,666
Operating expense	(89)	(100)	(97)	(102)	(105)	(113)	(124)	(127)	(127)	(139)	(145)	(147)	(352)	(388)	(469)	(558)	(615)
Operating income	334	290	209	245	278	342	379	355	349	482	484	467	738	1,078	1,354	1,782	2,051
Pretax income	359	307	228	225	258	332	379	355	349	482	484	467	780	1,118	1,324	1,782	2,051
Taxes expense	(62)	(29)	(37)	(36)	(41)	(53)	(61)	(57)	(56)	(77)	(77)	(75)	(120)	(163)	(212)	(285)	(328)
Net income	297	278	191	189	217	279	319	298	293	405	407	392	660	955	1,112	1,497	1,723
EPS, NT$	**1.51**	**1.42**	**0.97**	**0.96**	**1.10**	**1.42**	**1.62**	**1.52**	**1.49**	**2.06**	**2.07**	**2.00**	**3.36**	**4.86**	**5.66**	**7.62**	**8.77**
As % of sales																	
Gross margin	34.6%	30.0%	24.3%	27.2%	30.6%	32.1%	32.4%	31.2%	30.4%	34.3%	33.4%	32.6%	26.5%	29.0%	31.6%	32.8%	33.1%
Operating expense ratio	7.3%	7.7%	7.7%	8.0%	8.4%	8.0%	8.0%	8.2%	8.1%	7.7%	7.7%	7.8%	8.6%	7.7%	8.1%	7.8%	7.6%
Operating margin	27.4%	22.3%	16.6%	19.2%	22.2%	24.1%	24.4%	23.0%	22.3%	26.6%	25.7%	24.8%	17.9%	21.3%	23.5%	24.9%	25.4%
Net margin	24.3%	21.4%	15.2%	14.8%	17.3%	19.7%	20.5%	19.3%	18.7%	22.4%	21.6%	20.8%	16.0%	18.9%	19.3%	21.0%	21.4%
QoQ growth (%)																	
Revenue	-2.5%	6.2%	-2.8%	0.7%	-1.8%	13.3%	9.8%	-0.5%	1.2%	15.7%	4.3%	-0.3%	-	-	-	-	-
Gross profit	11.0%	-8.0%	-21.2%	12.9%	10.5%	18.8%	10.7%	-4.3%	-1.3%	30.7%	1.4%	-2.5%	-	-	-	-	-
Operating income	20.1%	-13.4%	-27.7%	16.8%	13.6%	23.0%	11.0%	-6.4%	-1.8%	38.2%	0.5%	-3.6%	-	-	-	-	-
Net income	13.9%	-6.2%	-31.2%	-1.4%	14.8%	28.6%	14.4%	-6.4%	-1.8%	38.2%	0.5%	-3.6%	-	-	-	-	-
YoY growth (%)																	
Revenue	58.4%	33.3%	13.0%	1.4%	2.2%	9.0%	23.1%	21.6%	25.2%	27.9%	21.5%	21.8%	-8%	23%	14%	24%	13%
Gross profit	162.3%	67.6%	-2.6%	-9.2%	-9.6%	16.8%	64.2%	39.1%	24.2%	36.6%	25.0%	27.4%	23%	34%	24%	28%	14%
Operating income	322.8%	82.9%	-5.6%	-12.2%	-16.9%	18.0%	81.1%	45.1%	25.5%	41.0%	27.7%	31.5%	41%	46%	26%	32%	15%
Net income	259.7%	181.3%	-12.2%	-27.6%	-27.1%	0.1%	66.5%	58.1%	35.3%	45.3%	27.7%	31.5%	27%	45%	16%	35%	15%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis and TP & risks

AWSC is one of the largest GaAS foundries globally, with 10-15% market share in the GaAS foundry industry in 2025. We expect the company to enjoy solid share gain opportunity in the long term, considering its much lower than peers' production cost and better production efficiency. However, given the high inventory level in the supply chain, and the slower-than-expected Android smartphone PA demand in coming quarters, we expect relatively slow profit growth in the near term.

We are Neutral rated given the company's relatively slow profit growth in coming quarters. We think the stock is priced fairly, trading at its historical upcycle average P/E multiple, despite the long-term market share growth opportunity. We forecast AWSC's net income to grow at a 34% 2026E-28E CAGR. The key up/downside risks are (1) easing/rising competition in the China PA foundry market, (2) faster/slower-than-expected progress on 5G/WiFi 7 upgrade trends, and (3) faster/slower-than expected progress with new businesses, including LEO satellite, drones and datacom.

Valuation methodology: Our 12-month target price of NT$136 is based on a target 25x 2027E P/E, which is 0.5 STDV below the company's past 10-year forward P/E multiple and the inventory build-up period average P/E. We consider this multiple appropriate given the soft demand outlook and our positive view on the company's longer-term share gain opportunity.

The key up/downside risks are 1) easing/rising competition in the China PA foundry market, (2) faster/slower-than-expected progress on 5G/WiFi 7 upgrade trends, and (3) faster/slower-than expected progress with new businesses, including LEO satellite, drones and datacom.

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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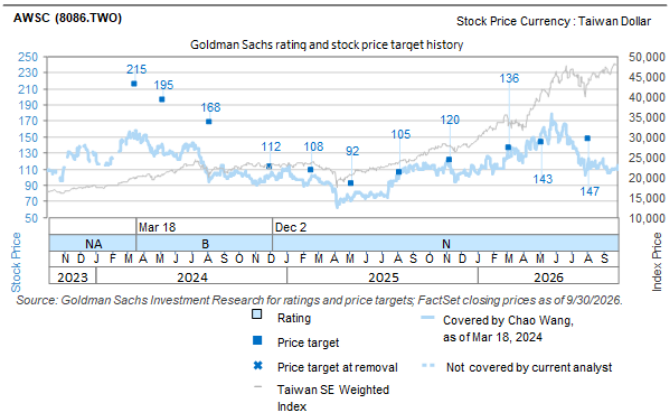
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Target price history table(s)
AWSC (8086.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
06-Aug-26	147.00	123.50
08-May-26	143.00	159.50
05-Mar-26	136.00	125.00
11-Nov-25	120.00	114.50
07-Aug-25	105.00	105.00
08-May-25	92.00	72.40
20-Feb-25	108.00	100.50
02-Dec-24	112.00	103.50
08-Aug-24	168.00	97.40
09-May-24	195.00	136.00
18-Mar-24	215.00	158.00

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